

DEMAND SAGA

1 AFTER DEFICIT RAINFALL IN JUNE AND JULY IN THE CRUCIAL INDO-GANGETIC PLAINS—THE FOOD BOWL OF INDIA—RAINS HAVE PICKED UP IN AUGUST

2 ABOVE-AVERAGE RAINFALL IN THE LAST FEW WEEKS IS BELIEVED TO HAVE MADE UP FOR THE INITIAL DEFICIT IN EAST & NORTH-WEST INDIA

3 POOR DEMAND FOR CONSUMER GOODS ITEMS AMONGST RURAL HOUSEHOLDS SINCE 2021 HAS BEEN THE KEY CONCERN FOR THE ECONOMY

4 MANUFACTURERS AND ECONOMISTS ALIKE ARE BETTING HEAVILY ON A GOOD MONSOON TO LIFT DEMAND AND REVIVE THE RURAL ECONOMY

5 CONSUMER GOODS MAKERS ARE EXPECTING A REVIVAL IN DEMAND IN THE SECOND HALF OF FY25, AS BETTER YIELDS WILL RAISE PURCHASING POWER, ESPECIALLY OF RURAL HOUSEHOLDS

monsoon for a sustained revival in the second half of FY25.

After a double-digit deficit in rainfall (of 11%) in June and July in multiple states in the Indo-Gangetic plains—considered the food bowl of India—the monsoon seems to have picked up. There was 28% excess rainfall in August, lifting the cumulative figure since June 1 to an excess of 6% compared with the long-period average. This augurs well for the rural market that comprises nearly a third of overall sales.

According to Sanjiv Puri, CMD of diversified conglomerate ITC, the situation is expected to get better. “One of the reasons why rural was impacted was the weather was unkind and the rural economy is indexed to the weather. We have witnessed favourable conditions for the current crop season and expect to see better conditions that augur well for consumption,” he says.

Dabur India Chief Executive Officer Mohit Malhotra says he now expects an improvement in the company’s top-line growth and margins in FY25. “We are targeting mid- to high single-digit growth for the consolidated business, and aiming to grow faster in most categories, thereby gaining market share.” Malhotra believes factors like a normal monsoon, backed by the government’s initiatives like increased allocation to the rural jobs scheme, and boosting agricultural output will help the industry and the economy overall. “Now, with normal monsoon and volume growth, we will see a gradual uptick of business,” he says.

For most of the past three years, urban consumption has outpaced rural. Data from market research firm Nielsen IQ shows that while volume offtake in the rural market remained muted till March 2023, it has started showing signs of revival. From 4% last July, rural volumes grew by 5.8% in December (6.9% urban) and at a relatively fair rate of 7.6% in the March quarter

(Q4FY24). In fact, in that quarter, volume growth in the rural market outpaced urban growth (5.7%). Overall, the sector witnessed a value growth of 6.6%.

According to Saugata Gupta, MD & CEO of Mumbai-based FMCG player Marico, a gradual improvement in rural demand continued in the June quarter as rural growth outpaced urban again. However, the distribution of rainfall and food inflation levels would be crucial.

Apart from benefitting con-

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sumer goods manufacturers, a good monsoon can also play a role in changing the stance of the Reserve Bank of India (RBI) in terms of monetary policy, which could in turn have an impact on economic activity in the next fiscal year.

According to Dharmakirti Joshi, Chief Economist at credit rating agency CRISIL, a well distributed, normal monsoon may trigger a round of rate cuts by the RBI. “I expect the RBI to begin cutting rates in October at the earliest and have pencilled in two rate cuts this fiscal. By then, there will be clarity on food inflation as the monsoon would have played out. Good progress on rains and sowing so far offer hope,” Joshi says.

With the signs indicating a return of the rural economy, consumer goods firms will hope that it will sustain this time around. **BT**

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